Tutorial 2: Introduction to Management

Case Study:

'Nikki Spencer' has a small chain of clothes shops in the East Midlands. She is still a sole trader she is the legal owner. Her biggest problem has been to raise capital to expand. She is also aware that if she builds up debts she could suffer from unlimited liability. This means that she could lose her house as she is responsible for the debts. She has however really enjoyed the ability to make her own decisions, nobody is telling her what to do. Also as the sole owner, after she has paid her bills she can keep all of the profits.

According to the above case,

1. Explain the benefits of being a Sole Trader.

   Full Control / Decision-making → Nikki enjoys the freedom to make her own decisions without interference.
   Keeps All Profits → After paying expenses, all profits belong to her.
   Simple Setup → Easy to establish, less legal formalities compared to companies.
   Close Customer Relationship → Direct contact with customers helps build loyalty.
   Flexibility → Can adapt quickly to market changes.

2. Explain the problems (difficulties) of being a Sole Trader.

   Unlimited Liability → Nikki is personally responsible for debts; even her house can be lost if debts are high.
   Limited Capital → Difficult to raise funds to expand as banks may hesitate to lend.
   Workload & Stress → She has to handle all management, decision-making, and risks alone.
   Lack of Continuity → Business may end if she is unable to work (illness, death).
   Limited Skills → One person may not have expertise in all areas (finance, marketing, operations).

3. Provide your own suggestions to overcome those problems.

Raise Capital

Apply for bank loans or government SME grants.

Use retained profits or personal savings carefully.

Introduce a **partner** (turn into a Partnership) to bring in more capital.

Reduce Risk of Unlimited Liability

Register as a **Private Limited Company** (Ltd) → gives limited liability protection.

Share Workload

Hire skilled staff for finance, marketing, or operations.

Plan for Continuity

Create a succession plan (transfer business to family or register as Ltd).

Expand Market Reach

Use online sales (e-commerce) to grow without huge costs.